

Marketing in a Digital World - Module 4 (Price)

Exam-Oriented Textbook Notes (Transcript Converted to Formal Study Format)

This document is a formal, exam-ready reconstruction of Module 4 (Price) from the original lecture transcript and module materials. It removes conversational filler and preserves core academic content, proper names, examples, data points, frameworks, and quiz material.

This version is designed for direct study for end-semester examination use.

1. Module 4 Learning Scope and Key Concepts

1.1 Central Theme

The digital revolution has altered how products and services are priced. In traditional settings, firms unilaterally set prices; in digital settings, customers increasingly influence or directly determine prices through mechanisms such as:

- Pay What You Want (PWYW)
- Freemium pricing
- Bidding and platform-mediated price discovery

1.2 Formal Learning Objectives

By the end of Module 4, a student should be able to:

- Explain the role of price within the marketing mix.
- Distinguish between fixed firm-centered pricing and flexible customer-influenced pricing.
- Define and evaluate Pay What You Want (PWYW).
- Define and evaluate Freemium strategy.
- Interpret practical and academic evidence on when these models work.
- Apply concepts to real cases (Panera) and digital contexts (apps, templates, subscriptions).

1.3 Guiding Questions

- What is Pay What You Want (PWYW), and how does it work in practice?
- What is Freemium, and how does it work in practice?
- How do digital tools change firm pricing power and customer decision power?

1.4 Required Key Terms (Must Know)

- Price strategy
- Price segmentation
- Pay What You Want (PWYW)
- Freemium

1.5 Reading and Research Anchors (Names and Sources)

Required reading references included in the module:

- Gu, X., Kannan, P. K., and Ma, L. (2019), Harvard Business Review, on maximizing freemium business models.
- Bennet, T. (2023), "What is Pay What You Want Pricing?" Priceva.

Academic insight references used in module framing:

- Deng, Y., Lambrecht, A., and Liu, Y. (2023), Management Science, freemium spillover effects in mobile apps.
- Boudreau, K. J., Jeppesen, L. B., and Miric, M. (2022), Strategic Management Journal, freemium and network effects.
- Kim, J. Y., Natter, M., and Spann, M. (2009), Journal of Marketing, foundational PWYW study.
- Lu, S., Yao, D., Chen, X., and Grewal, R. (2021), Marketing Science, PWYW tipping in live streaming.

Additional readings named in module materials include works by Gerpott (2017), Hamari et al. (2019), Kalb (2013), Niemand et al. (2019), Tuttle (2014), Viglia et al. (2019), and Weisstien et al. (2016).

2. Price Overview: Concepts, Logic, and Strategic Structure

2.1 Price in the 4Ps Framework

Price is the amount a customer pays to acquire a product or service. In the module logic:

- Product, Promotion, and Placement primarily create value.
- Price captures value for the firm.

Therefore, pricing is directly tied to profitability and business survival.

2.2 Why Pricing Is Complex

A robust pricing strategy typically requires balancing three major considerations:

- Cost of production or acquisition
- Customer willingness to pay
- Competitor price levels

This trade-off means pricing cannot be reduced to one formula for all contexts.

2.3 Example: Coca-Cola Pricing Context

The module uses Coca-Cola as a recurring illustration:

- Coke historically used a value-focused strategy to stay affordable to mass markets.
- Competitive pressure from Pepsi required close price alignment.
- Typical U.S. retail price point highlighted in lecture context: approximately one to two dollars per can or bottle.

This example shows coexistence of value orientation and competitor response.

2.4 Core Pricing Concepts Mentioned in Lecture

- Breakeven analysis
- Price elasticity
- Reference pricing

The module then narrows practical emphasis to:

- Firm pricing strategy
- Customer price knowledge

2.5 Three Common Pricing Strategies

2.5.1 Cost-Based Pricing

Definition: Price is set based on product cost plus accepted markup.

Illustrative data point from lecture:

- In U.S. car retailing, vehicles are often priced around invoice plus roughly 5% to 10% margin.

2.5.2 Competitor-Based Pricing

Definition: Price is set by matching or closely tracking competitor prices.

Illustrative example:

- Gas stations in close proximity frequently match each other after one station lowers price.

2.5.3 Value-Based Pricing

Definition: Price is anchored to value delivered in the use context, not only production cost.

Illustrative example:

- A cold soda during a hot sporting event can command a higher price than an equivalent soda sold nearby in a less urgent context.

2.6 Customer Price Knowledge

The module emphasizes two findings from consumer behavior research:

- Exact price recall is often weak.
- Approximate range recognition is often stronger.

Specific study insight cited in lecture framing:

- Fewer than half of supermarket shoppers could accurately state item prices in their cart.

Interpretation for exam writing:

- Consumers may not remember exact prices on demand.
- But they can detect whether a displayed price is within a familiar range.

2.7 Transition from Fixed to Flexible Pricing in Digital Contexts

Traditional pattern:

- Firm sets price.
- Customer discovers price at point of purchase.
- Price often non-negotiable.

Lecture example:

- A Coke purchased at a grocery store for \$1.99 with no negotiation option.

Digital-era pattern:

- Customer can influence effective price through digital mechanisms.
- Access to zero-price offers increases.
- Pricing becomes more dynamic and participative.

Information example used in lecture:

- Earlier eras required expensive encyclopedia purchases (reported as thousands of dollars).
- Digital era provides broad information access at zero monetary price for many users.

Digital goods example:

- Thingiverse allows download of digital designs at zero price.
- Apps often use free entry with optional paid enhancements.

Conclusion:

- The pricing environment shifts from fixed prices toward flexible and customer-mediated prices.

3. Field Perception Snapshot: Street Interviews on Price

Location context: University of Illinois Quadrangle.

3.1 Observed Familiarity with PWYW

Interview responses showed mixed familiarity:

- Some respondents had heard of the concept.
- Some had never heard of it.
- Some viewed it as unusual in the U.S. context.
- One respondent questioned practical feasibility ("Is it possible?").

3.2 Immediate Reaction to PWYW Idea

When interviewer explained that customers could choose payment amount, including zero:

- Several respondents expressed positive reaction.
- Some reported no prior direct experience.

3.3 Observed Familiarity with Freemium

Freemium term recognition was initially low for several respondents, but practical experience recognition was high after explanation.

Examples identified by participants:

- Canva free tier
- Mobile games with in-app purchases
- Social media feature ladders
- Time-limited workout app trial
- Amazon Prime membership reference

3.4 Exam Insight from Street Interviews

The conceptual terms PWYW and Freemium may be unfamiliar by label, but the underlying consumer experiences are common. This matters because adoption barriers are often semantic and explanatory, not experiential.

4. Pay What You Want (PWYW) - Part 1 (Conceptual Foundations)

4.1 Anchor Quote

"Pricing is the moment of truth. All marketing comes into focus in the pricing decision." - Thomas Nagle

Interpretation:

- Pricing converts strategy into market reality.
- Small pricing errors can destroy demand (too high) or margin (too low).

4.2 Price Segmentation Background

The module first explains standard segmentation before PWYW.

Traditional segmentation examples:

- Student and senior discounts in theaters.
- Markdowns on near-expiry products such as two-day-old donuts.

Key point:

- In traditional systems, firms define segments and eligibility rules.

4.3 Formal Definition of PWYW

Pay What You Want is a pricing strategy where customers decide how much to pay for a product or service.

Operational characteristics:

- Seller may display a suggested price.
- Customer may pay less, equal, or more than suggested price.
- Some implementations permit zero payment.

4.4 Why PWYW Fits Digital Contexts

- Digital distribution allows better access control and transaction tracking.
- Marginal cost for many digital goods is near zero.
- Lower marginal cost reduces downside risk of low-payment outcomes.

4.5 Named PWYW Examples (Must Remember)

4.5.1 Radiohead (2007)

- British band released album "In Rainbows" under PWYW.
- Widely credited as a major public catalyst for PWYW discussion.

4.5.2 Headsets.com

- Used PWYW to reward customer loyalty.
- Displayed a suggested price.
- Reported outcome from CEO Mike Faith: nearly all customers paid at or near suggestion; reported approximately 30% ROI increase.

4.5.3 Wikipedia / Wikimedia Foundation

- Free content model supported by donation-based PWYW logic.
- Expense burden still exists (servers, technical support, legal costs).
- Reported asset scale referenced in module: over \$225 million.

4.6 Three Core PWYW Issues (Part 1 Deep Dive)

Issue 1: Will People Pay If They Do Not Have To?

Standard economic prediction:

- Rational utility maximizers might pay zero.

Behavioral-social reality:

- Fairness and honesty norms influence behavior.

Evidence cited:

- Study of PWYW restaurant customers in Vienna, Austria found over 99% paid something.

Issue 2: How Can Firms Earn if Zero Is Allowed?

Mechanisms explained in module:

- Many customers still pay positive amounts.
- Some pay more than conventional fixed-price outcomes.
- Novelty generates publicity and traffic.

Evidence example:

- U.S. National Aquarium (Baltimore) PWYW day attracted over 7,500 visitors and raised over \$33,000, above typical levels.

Issue 3: Is PWYW Sustainable?

Module conclusion:

- Usually not ideal as permanent all-product pricing.
- More viable when restricted by time, product subset, or audience segment.

Illustrative logic:

- Radiohead used PWYW for one album but did not permanently replace standard pricing.

5. Pay What You Want (PWYW) - Part 2 (Academic Evidence and Implementation)

5.1 Academic Insight 1: Foundational Field Experiments (Germany)

Study design in module narrative:

- Three businesses participated (two restaurants, one movie theater).
- Over 600 customers observed.

Findings:

- 100% paid something (no zero-payment outcomes in this sample).
- Average paid price about 50% lower than usual prices.
- Sales volume approximately 10% higher.
- Revenue impact differed by context:
 - Higher-than-average revenue in both restaurants.
 - Lower-than-average revenue in movie theater.

Exam implication:

- PWYW effectiveness is context-dependent.
- Volume lift may or may not offset reduced average price.

5.2 Academic Insight 2: PWYW in Live Streaming (Lu et al., 2021)

Context:

- Live-stream tipping systems represent PWYW-like behavior.

Research focus:

- Effect of audience size on average tipping per viewer.

Empirical setting:

- Experimental manipulation across live-stream shows in China.

Core result:

- Larger audience size increased average tip per viewer.

Mechanism proposed:

- Social image salience: viewers care how generosity appears to others.

Managerial implication:

- PWYW performs better when social visibility and social-image incentives are stronger.

5.3 Four Practical Recommendations for PWYW

Recommendation 1: Set a Reference Price

- Show anchor information to reduce underpayment temptation.
- Example from lecture logic: place PWYW Vitamin C near fixed-price Vitamin D.

Recommendation 2: Focus on Low Marginal Cost Offers

- PWYW is safer for digital products (music, text, video).
- Combine with premium physical product upsell where possible.

Radiohead illustration:

- Limited-edition discbox offered at \$82.
- 100,000 units sold.
- Revenue exceeded \$8 million from that offer layer.

Recommendation 3: Use Limited Rollout

- Restrict by product line, customer type, or time duration.

Headsets.com illustration:

- PWYW used on two products among a much larger catalog.
- Limited to returning customers.

Recommendation 4: Add Charity Appeals

- Publicly linking proceeds to charity often increases willingness to pay.
- Signals seller generosity and activates reciprocal consumer generosity.

6. Case Study: Panera and PWYW in Physical Retail

6.1 Case Background

Panera Bread profile in module:

- Major North American bakery-cafe chain.
- Reported scale in lecture context: over 2,000 locations across U.S. and Canada.

PWYW implementation timeline:

- Initial launch in 2010 in St. Louis, Missouri.
- Expansion to four additional cities: Boston (Massachusetts), Dearborn (Michigan), Chicago (Illinois), Portland (Oregon).

6.2 Customer Payment Behavior in Panera PWYW Stores

Reported distribution:

- 60% paid suggested price.
- 20% paid less.
- 20% paid more.
- Close to 90% paid something, though zero payment was possible.

6.3 Public Attention and Perception

- Panera strategy received significant media attention.
- One reported media framing called the move "business genius."

6.4 Why the Strategy Was Not Scaled Long-Term

Despite reputation and experimentation:

- The model did not scale across broader network.
- By early 2019, all five PWYW stores were closed.

6.5 Three Case Takeaways

Takeaway 1: Profitability Constraint

- PWYW stores reportedly experienced around 30% loss on average.
- Positive participation did not automatically imply financial sustainability.

Takeaway 2: Customer-Base Composition Shift

- Some consumers able to pay full price chose lower/no payment.
- Stores attracted higher volume of economically distressed customers.
- Reported complaint from paying customer highlighted experiential conflict:
 - "These homeless people stink, I can't stand eating like this."

Takeaway 3: Employee Burden and Operational Spillovers

- Customer confusion required repeated explanation from staff.
- Employees handled non-standard incidents (including drug-use and mental-health related disruptions in some locations).

6.6 Key Historical Detail (Exam Memory Point)

- Founded in 1987 as St. Louis Bread Company.

- Renamed Panera in 1997.
- Module note states "panera" means "bread basket" in Finnish.

6.7 Case Evaluation Lens for 3-4 Mark Answers

When evaluating Panera's PWYW strategy, discuss:

- Economic outcome: participation versus margin reality.
- Segment fit: physical service environment constraints.
- Social mission versus operating model tension.
- Implementation design: targeting, controls, and communication.

7. Freemium - Part 1 (Foundations, Examples, and Conversion Logic)

7.1 Anchor Quote

"There's no such thing as a free lunch." - Milton Friedman

Interpretation in module context:

- Free access often acts as an entry layer, not final business model endpoint.

7.2 Why Price Still Matters in Digital Settings

Even in digital markets:

- Value must be captured, not only created.
- Free usage must eventually support viable economics through conversion or indirect value.

7.3 Formal Definition of Freemium

A freemium is a digital product/service that:

- Offers basic functionality for free.
- Charges for premium functionality (often monthly or annual subscription).

Reason it can work:

- Marginal cost of serving one additional digital user is close to zero.

7.4 Major Freemium Examples and Data Points

7.4.1 Dropbox

- File hosting platform with over 700 million users across 200+ countries.
- Free plan: 2 GB storage.
- Premium tiers: at least 2 TB plus additional capabilities (example features include text search and file recovery).
- Reported premium subscriber base: nearly 20 million.

7.4.2 LinkedIn

- Professional network with over 800 million users across 200+ countries.
- Free core services: profile creation, networking, job search interactions.
- Premium plans: roughly \$30 to \$150 per month for segment-specific use cases (career, hiring, sales, etc.).
- Module-stated premium penetration figure: about 40% of users.

7.4.3 New York Times

- Legacy newspaper transformed through digital freemium access model.
- Free tier: five articles per month.
- Paid access: roughly \$25/month (less than \$1/day in module framing).
- Reported digital paid subscribers: over 10 million, approximately 20x physical subscriber scale.

7.5 Three Core Freemium Observations

Observation 1: 5% Rule of Thumb

- Many freemium businesses are viable if a small share converts.

- Typical conversion range often cited around 2% to 5%.
- Rough rule: near 5% can be viable, depending on cost structure and user base quality.

Observation 2: Zero Price Effect Risk

- If free tier is too generous, upgrade incentive collapses.
- Platform must balance free value and premium exclusivity.

Mitigation tactic:

- Time-limited premium exposure for free users (sampling).

Observation 3: Twin Roles of Free Users

Free users provide value in two distinct ways:

- Direct future conversion to paid tier.
- Indirect acquisition through word-of-mouth and network growth.

Module valuation logic:

- A free user may be worth roughly 15% to 25% of a premium user when these twin roles are accounted for.

8. Freemium - Part 2 (Research Insights and Managerial Recommendations)

8.1 Academic Insight 1: Mobile App Freemium Spillover (Deng et al., 2023)

Research scope:

- Nearly 200,000 mobile gaming apps in Apple App Store analyzed.

Question:

- Does launching a free version increase paid-version adoption?

Result:

- On average, free-version launch increased paid-version purchases.

Mechanism:

- Sampling effect: free experience reduces quality uncertainty and encourages paid adoption.

Boundary condition:

- Conversion improves when paid version provides clearly superior benefits versus free version.

8.2 Academic Insight 2: Freemium and Network Effects (Boudreau et al., 2022)

Research scope:

- Over 33,000 Apple App Store offerings evaluated.

Question:

- Is freemium equally effective for market leaders and followers?

Result:

- Freemium delivered materially stronger revenue outcomes for leaders.
- Reported figure: leaders using freemium saw about 55% higher revenue than followers using similar strategy.

Mechanism:

- Stronger network effects among leaders (value rises as user base grows).

8.3 Four Practical Recommendations for Freemium

Recommendation 1: Add New Features Over Time

- Early adopters are easier to convert; later users require stronger incremental value.
- Ongoing feature expansion keeps offer compelling.

Dropbox example from lecture narrative:

- Evolved from basic backup utility to broader collaboration/photo utility.

Recommendation 2: Build Stickiness

Stickiness drivers:

- Network effects (product value rises with total users).
- Switching costs (effort/time to migrate accumulated usage data).

Examples:

- LinkedIn network growth increases profile and connection utility.

- Dropbox data migration burden discourages switching.

Recommendation 3: Be Restrictive in Premium Boundaries

Premium conversion requires real differentiation.

Common restrictions:

- Capacity restrictions
- Feature restrictions

Dropbox illustration:

- Free capacity cap and restricted advanced recovery features.

Recommendation 4: Reduce Upfront Marketing Costs

- Free tier itself is an acquisition mechanism.
- Word-of-mouth can substitute part of paid awareness spend.
- Freemium can reduce dependence on large initial ad budgets.

9. Exercise: "It's Full of Sparks" (Freemium Application)

9.1 Exercise Purpose

To experience freemium from the consumer side and evaluate conversion triggers in real decision conditions.

9.2 Game Context

Suggested game: "It's Full of Sparks" (Apple and Android availability noted in lecture).

Narrative premise:

- Player controls a lit firecracker.
- Objective: progress through levels to find "the Old One," whose fuse has never been lit.

Game motto quoted in module:

"When the spark of life is lit, the countdown begins."

9.3 Freemium Mechanics Highlighted

- Initial free access to 10 firecrackers.
- After depletion, options include waiting, ad viewing, or premium purchase.

9.4 Exercise Procedure

- Select and download a freemium game.
- Play actively.
- Identify free-vs-premium boundaries.
- Decide whether to upgrade.

9.5 Assignment Questions

- Name the game played.
- Describe freemium options and price points.
- State whether premium was purchased and why.
- Explain key lesson learned about freemium strategy.

9.6 Included Sample Submission (Module Data)

- Game: It's Full of Sparks.
- Offer structure: 10 free firecrackers; option to wait, watch video, or buy premium for \$2.99.
- Student purchase decision: did not purchase due sufficiency of free usage for casual play.
- Learning statement: freemium hooks with free value, then uses friction (ads/waiting/limits) to make premium seem reasonable.

9.7 Rubric (Scoring Logic)

- 0 points: no meaningful answer.
- 1 point: insufficient/incomplete answer.
- 2 points: complete and acceptable answer.
- 3 points: excellent answer with originality and supporting reference depth.

10. Expert Insight: Cody Burch on PWYW Implementation

10.1 Professional Background

Cody Burch profile in module interview:

- Founder of Red Anchor Marketing.
- Worked approximately 11 years in digital marketing before launching own agency in 2017.
- Focused domains included content marketing, email, funnels, lead generation, Facebook ads, and consulting.

10.2 Trigger for PWYW Experiment

- Observed friend in niche music-template market acquiring very high customer counts via PWYW.
- This prompted transfer of PWYW concept to digital-marketing assets.

10.3 Offer Design and Execution

Summer 2020 experiment:

- Product: bundle of 27 ClickFunnels templates.
- Platform: SamCart.
- Minimum payment floor: \$1 (to avoid zero/near-zero payment friction and transaction-fee inefficiency).

10.4 Reported Performance Metrics (High Exam Value)

- 521 sales within about six weeks.
- Previous customer base around 60; sharp increase in paying-customer count.
- Initial average order amount: \$6.61.
- Highest single payment reported: \$97.
- Many users paid minimum; some paid above (\$25, \$50, etc.).

Critical profitability layer:

- With order bumps and upsells, average order value rose to \$20.73.
- Customer acquisition from cold traffic reportedly cost approximately \$12 to \$15.
- Around 35% accepted order bump, generating roughly two-thirds of total revenue.

10.5 Checkout and Conversion Engineering Insights

Operational insight from implementation:

- Payment-friction reduction matters.
- Enabling multiple payment options significantly helps conversion.

Interview data point:

- Roughly half of orders came through PayPal in this case.

10.6 Cody Burch's Three Tactical Principles

- Principle 1: Make first PWYW offer high-desire and problem-solving.
- Principle 2: Treat PWYW as customer acquisition entry, not full monetization endpoint.
- Principle 3: Continuously test and measure offer, price floor, bumps, and upsells.

10.7 Strategic Interpretation for Exam Answers

PWYW can work as a front-end customer acquisition engine when:

- Digital marginal costs are low.
- Monetization architecture (bumps/upsells/back-end) is intentional.
- Unit economics (AOV vs acquisition cost) are measured and optimized.

10.8 Mentioned Public Links in Interview

- codyburch.com
- onehourfunnel.com

11. Comparative Synthesis: PWYW vs Freemium

11.1 Structural Comparison

- PWYW: customer chooses payment amount for a specific transaction.
- Freemium: customer chooses whether to remain free tier or move to paid tier.

11.2 Revenue Logic

- PWYW: relies on fairness norms, social signaling, novelty, and strategic anchoring.
- Freemium: relies on large top-of-funnel free user base plus conversion and retention economics.

11.3 Risk Profile

- PWYW risk: underpayment and volatility.
- Freemium risk: over-generous free tier causing weak conversion (zero-price effect).

11.4 Strong-Use Contexts

- PWYW: campaign windows, low marginal-cost digital goods, charity-linked events, selective customer cohorts.
- Freemium: products with scalable digital delivery, clear premium differentiation, and network/switching stickiness.

11.5 Common Success Conditions

- Clear value communication.
- Conversion architecture.
- Data-driven iteration.
- Fit between pricing model and marginal-cost structure.

12. High-Value Exam Notes: Data, Names, and Quotable Lines

12.1 Key Quotes

- "Pricing is the moment of truth. All marketing comes into focus in the pricing decision." - Thomas Nagle
- "There's no such thing as a free lunch." - Milton Friedman
- "When the spark of life is lit, the countdown begins." - It's Full of Sparks motto

12.2 Named Entities to Remember

- Steve (lecturer)
- Eric (lecturer)
- Thomas Nagle (pricing quote)
- Milton Friedman (free lunch quote)
- Mike Faith (Headsets.com CEO reference)
- Cody Burch (expert interview)
- Red Anchor Marketing
- Radiohead
- Wikipedia / Wikimedia Foundation
- Panera Bread
- Dropbox
- LinkedIn
- New York Times

12.3 Numeric Facts Frequently Asked in Objective Exams

- Car dealer markup example: 5%-10% over invoice.
- Coca-Cola grocery example price shown: \$1.99.
- Vienna PWYW restaurant finding: over 99% paid something.
- National Aquarium PWYW day: 7,500+ visitors and \$33,000+ raised.
- Germany PWYW field experiments: 600+ customers; average price around 50% lower; quantity around 10% higher.
- Radiohead discbox: \$82, 100,000 units, \$8M+ revenue.
- Panera PWYW payment split: 60/20/20.
- Panera PWYW average loss: around 30%.
- Panera PWYW stores: 5 pilot stores; closed by early 2019.
- Dropbox: 2 GB free, 2 TB+ premium, nearly 20M premium users.
- LinkedIn premium range: around \$30-\$150 monthly.
- New York Times free tier: 5 articles/month.
- Freemium conversion rule-of-thumb: around 5% (often 2%-5%).
- Free user estimated value in freemium ecosystems: about 15%-25% of premium user value.
- Cody Burch PWYW campaign: 521 sales in about six weeks; initial AOV \$6.61; top payment \$97; full-funnel AOV \$20.73.

13. Quiz Bank with Options, Correct Answers, and Explanations

13.1 Quiz: Price Overview

Question 1

Academic research suggests that for many product categories, customers have relatively high level of price knowledge.

Options:

- True
- False

Correct Answer: False

Explanation:

Research cited in module suggests exact recall is weak (fewer than half of supermarket shoppers accurately recalled prices), though approximate-range recognition can still be good.

Question 2

Which of the following are commonly used pricing strategies?

Options:

- Value-based pricing
- Competitor-based pricing
- Cost-plus pricing
- All of the above

Correct Answer: All of the above

Explanation:

Module names cost-based/cost-plus, competitor-based, and value-based strategies explicitly.

13.2 Quiz: Pay What You Want

Question 1

Price is determined by the value a product or service delivers to various potential customers.

Options:

- True
- False

Correct Answer: True

Explanation:

This reflects value-based logic and supports why customer-specific payment variation can be meaningful in PWYW.

Question 2

Which of the following practices are useful in implementing a Pay What You Want strategy?

Options:

- Setting a reference price
- Employing charity appeals
- Focusing on marginal cost
- All of the above

Correct Answer: All of the above

Explanation:

All are direct recommendations in the module's PWYW practice section.

13.3 Quiz: Freemium

Question 1

The Freemium business model is based on which of the following ideas?

Options:

- Creating a platform that will benefit only limited number of premium users
- Providing users with free services and products
- Delivering as many free features as possible to users
- Offering a set of basic features for free but charging a price for premium features

Correct Answer: Offering a set of basic features for free but charging a price for premium features

Explanation:

This is the direct module definition of freemium.

Question 2

Which type of perceived value is directly associated with customers' intent to upgrade from free to premium subscription?

Options:

- Quality
- Economic value
- Social value
- Enjoyment

Correct Answer: Economic value

Explanation:

Module reading references indicate perceived value-for-money is a major upgrade driver.

13.4 Quiz: It's Full of Sparks Exercise

Question 1

According to the exercise video, which statement about freemium games is correct?

Options:

- Freemium games usually have add-on items you have to pay later on.
- Freemium games cost a small fee to download.
- Freemium games can only be found on Android devices.

Correct Answer: Freemium games usually have add-on items you have to pay later on.

Explanation:

Freemium games are generally free to start but monetize via optional paid features.

Question 2

How many free firecrackers are given initially in It's Full of Sparks?

Options:

- 10
- 8
- 5
- 1

Correct Answer: 10

Question 3

How many firecrackers are received by watching a short video?

Options:

- 8
- 10
- 1
- 5

Correct Answer: 1

Question 4

Removing ads is usually a reason for upgrade in freemium games.

Options:

- True
- False

Correct Answer: True

Question 5

What is the premium-experience price in It's Full of Sparks?

Options:

- \$2.99
- It's completely free.
- \$0.99
- \$1.99

Correct Answer: \$2.99

Question 6

What did you learn about freemium pricing?

Sample Answer:

Freemium builds user base by reducing entry barrier to zero, then uses value-gaps and friction points (ads, waiting, restricted capacity) to encourage upgrades among engaged users.

13.5 Module 4 Comprehensive Quiz

Question 1

Which one is NOT one of the pricing concepts mentioned in the course?

Options:

- Price elasticity
- Price fairness
- Reference prices
- Break-even analysis

Correct Answer: Price fairness

Explanation:

The module explicitly lists break-even analysis, price elasticity, and reference pricing.

Question 2

Making the right pricing decision is crucial because:

Options:

- It provides a firm with a sustainable competitive advantage.
- It affects a firm's profitability.
- It helps the firm be unique.
- It creates value for customers.

Correct Answer: It affects a firm's profitability.

Explanation:

Lecture states that price captures value and is critical for profitability and survival.

Question 3

Which factors should firms consider when setting price?

Options:

- Cost of production
- Customer willingness to pay
- Competitor prices
- All of the above

Correct Answer: All of the above

Question 4

Why is freemium particularly suitable for digital products/services?

Options:

- Marginal cost of adding a new user is close to zero.
- Free options always remove need to purchase premium.
- Economic value does not influence upgrades.
- The 5% rule applies only to digital categories.

Correct Answer: Marginal cost of adding a new user is close to zero.

Question 5

Freemium is commonly used in which categories?

Options:

- Smartphone apps
- Social media and communication platforms
- Software
- All of the above

Correct Answer: All of the above

Question 6

If a firm sets price too high, what is the direct risk highlighted in lecture?

Options:

- The firm may lose potential revenue.
- The firm may lose potential sales.
- The firm will be less profitable.
- All of the above

Correct Answer: The firm may lose potential sales.

Question 7

PWYW is generally a reliable way to maximize long-term profit.

Options:

- True
- False

Correct Answer: False

Question 8

Which statement about PWYW is correct?

Options:

- PWYW is sustainable as a permanent strategy for most firms.
- PWYW requires customers to pay above a mandatory minimum.
- A firm may suggest a price, but customers can pay any amount (sometimes even zero).
- Customers must pay at least something in every PWYW setting.

Correct Answer: A firm may suggest a price, but customers can pay any amount (sometimes even zero).

Question 9

How can freemium businesses improve conversion from free to premium?

Options:

- Offer stronger premium benefits.
- Keep adding new features.
- Increase stickiness and switching costs.
- All of the above.

Correct Answer: All of the above

Question 10

According to Gu, Kannan, and Ma (2019), how is versioning implemented in SaaS freemium contexts?

Options:

- Expand free features only to build feedback.
- Extend premium product lines by customer behavior and willingness-to-pay differences.
- Focus only on enjoyment value.
- Encourage free mentality as primary objective.

Correct Answer: Extend premium product lines by customer behavior and willingness-to-pay differences.

14. Descriptive Questions with Model 3-4 Mark Answers

Q1. Explain the difference between value creation and value capture in the context of the 4Ps.

Model Answer:

In the 4Ps framework, product, promotion, and placement are primarily mechanisms for value creation. Product defines what benefit is delivered, promotion communicates that benefit, and placement ensures the offering is accessible in relevant channels. Price is different because it captures value for the firm by converting perceived benefit into revenue. If price is misaligned, value created in the first three Ps may not translate into profits. This is why pricing is presented as critical for profitability and even firm survival.

Q2. Discuss three major pricing strategies and provide one example for each.

Model Answer:

Cost-based pricing sets price as cost plus markup; a lecture example is U.S. auto retail pricing at invoice plus roughly 5%-10%. Competitor-based pricing aligns with rival prices; gas stations frequently match nearby reductions. Value-based pricing depends on contextual willingness to pay; a cold soda at a hot sports venue can command a higher price than the same soda in a nearby store. The three strategies differ in anchor logic: internal cost, external rivalry, and customer-perceived utility.

Q3. Define PWYW and evaluate whether it can be profitable.

Model Answer:

PWYW allows customers to choose payment amount, with optional suggested pricing by seller. Profitability depends on context rather than the mechanism alone. Evidence in module shows mixed outcomes: in a German field experiment, average paid price was lower but volume was higher; restaurants gained revenue while a movie theater did not. Additional gains can come from publicity, social-image effects, and upsells (as in digital settings). However, long-run sustainability is limited if low payments consistently fail to cover total costs.

Q4. Why do many customers still pay in PWYW settings even when zero payment is possible?

Model Answer:

Beyond strict utility maximization, customer behavior is influenced by social and moral norms such as fairness, reciprocity, and self-image. A Vienna restaurant study cited in module found that over 99% of customers paid something. In visible contexts (for example, live streaming tips), social-image concerns can further increase payment amounts as audience size increases. Thus, payment behavior under PWYW is shaped by both economic and social-psychological drivers.

Q5. Explain four practical recommendations for implementing PWYW.

Model Answer:

First, set a reference price to anchor fairness and reduce underpayment. Second, use low marginal-cost offerings, especially digital goods, to control downside risk. Third, apply limited rollout (selected products, durations, or customer groups) to test safely and preserve novelty effects. Fourth, incorporate charity appeals, since prosocial framing often increases willingness to pay. Together, these recommendations

improve both behavioral compliance and economic viability.

Q6. Analyze Panera's PWYW case in terms of strategy and execution.

Model Answer:

Panera's pilot was bold and socially motivated, with five PWYW stores and strong publicity. Customer payment participation looked encouraging (60% suggested price, 20% lower, 20% higher), yet average losses of around 30% made sustainability difficult. Customer-base shifts and operational strain also emerged, including experience conflicts and additional employee burden. The case demonstrates that socially attractive pricing models still require strict operational and profitability controls.

Q7. Define freemium and explain the economic logic behind the model.

Model Answer:

Freemium offers basic features for free and charges for premium functionality, typically through subscriptions. The model is viable in digital contexts because marginal user-serving cost is near zero. Revenue comes from converting a minority of users (often discussed around a 2%-5% range) and from premium tiers with clear value differentiation. Free users may also generate indirect value through referrals and network growth.

Q8. What is the zero-price effect in freemium and how can firms mitigate it?

Model Answer:

The zero-price effect occurs when the free tier becomes so valuable that users do not feel incentive to upgrade. This weakens conversion and threatens model economics. Mitigation requires controlled restriction: cap capacity, withhold high-value premium features, and occasionally allow temporary premium trials so users can sample superior value. The objective is to keep free useful but incomplete.

Q9. Explain why stickiness is central to freemium performance.

Model Answer:

Stickiness reduces churn and supports long-term conversion opportunities. It can arise from network effects (service value increases as more users join) or switching costs (time and effort needed to migrate data/relationships). LinkedIn demonstrates network-based stickiness; Dropbox demonstrates switching-cost stickiness when users store large volumes of files. Greater stickiness typically supports better monetization and defensibility.

Q10. Summarize the key contribution of Cody Burch's expert interview for pricing strategy.

Model Answer:

Cody Burch's case shows PWYW can function as a customer-acquisition mechanism when connected to an optimized funnel. A \$1 minimum offer for 27 templates generated 521 purchases in about six weeks, but true viability came from order bumps and upsells that raised overall AOV to \$20.73. The interview highlights practical levers: payment-friction reduction, multi-method checkout, and continuous testing of offer architecture. The core lesson is that front-end low-price entry must be linked to back-end monetization.

Q11. Compare PWYW and Freemium as digital-era pricing innovations.

Model Answer:

PWYW customizes payment amount per transaction and depends heavily on fairness norms, anchors, and campaign design. Freemium customizes access depth over time through free and paid tiers and depends on conversion management, retention, and product differentiation. PWYW is often episodic and high-variance; freemium is often ongoing and infrastructure-heavy. Both models work best for low marginal-cost digital products.

Q12. How are digital tools shifting power from firms to consumers in pricing?**Model Answer:**

Digital tools increase price transparency, reduce search costs, and create new transaction structures where consumers influence or determine payment. Models like PWYW and freemium move pricing from strict top-down control to participative systems. Consumers gain ability to compare, delay, sample, and personalize payment behavior. Firms consequently need adaptive pricing architecture rather than one fixed-price policy.

15. Rapid Revision Sheet (Last-Minute Exam Use)

- Price captures value; other Ps mainly create value.
- Core pricing strategies: cost-based, competitor-based, value-based.
- Price knowledge: low exact recall, better range recognition.
- PWYW definition: customer chooses payment; can be below/above suggestion; sometimes zero.
- PWYW examples: Radiohead, Headsets.com, Wikipedia.
- PWYW evidence: not always profit-maximizing; success often limited rollout.
- Panera case: high social visibility, weak long-term economics, operational spillovers.
- Freemium definition: free basic + paid premium features.
- Freemium economics: low marginal cost + conversion from free to paid.
- 5% conversion rule-of-thumb (range commonly 2%-5%).
- Zero-price effect risk if free tier too strong.
- Build stickiness via network effects and switching costs.
- Free users still valuable via referrals and future conversion.
- Expert interview lesson: PWYW front-end must connect to funnel monetization.

End of Module 4 textbook-format notes.